SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

November 12, 2026 | 04:52 PM ET

MACRO REGIME: Mixed / Transitional

VIX 18.7 (-0.7 vs 20d) | SPY 20d -0.8% | IWM 20d +3.0% | IWM/SPY trend +3.8%

Leaders: Cons Disc (+7.1%), Healthcare (+6.3%), Real Estate (+5.2%)

Setup Grades

A - Prime Setup (0)	B - Building (6)	C - Early Stage (6)
	BRZE	CATY
	SIGI	CVLT
	VRNS	QTWO
	CNK	PECO
	BOX	TXNM
	CON	SR

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
B	BRZE	Braze, Inc.	AI-Powered Marketing	$5.29B	$46.61	$46.81	0.4%	+68.5	YES	YES
B	SIGI	Selective Insuran	Hard Market P&C Pric	$6.16B	$103.36	$105.65	2.2%	+14.0	YES	YES
B	VRNS	Varonis Systems,	Cybersecurity AI Aut	$5.66B	$49.07	$49.26	0.4%	+15.4	YES	no
B	CNK	Cinemark Holdings	Consumer Recovery En	$4.80B	$41.46	$41.67	0.5%	+12.5	YES	YES
B	BOX	Box, Inc.	AI-Enhanced Enterpri	$5.99B	$43.63	$44.88	2.9%	+36.9	YES	no
B	CON	Concentra Group H	Healthcare Services	$5.40B	$42.99	$44.22	2.9%	+23.0	YES	YES
C	CATY	Cathay General Ba	Regional Bank NIM Re	$4.30B	$65.27	$67.62	3.6%	+3.7	YES	YES
C	CVLT	Commvault Systems	Cyber Resilience Inf	$6.80B	$166.16	$174.25	4.9%	+16.9	YES	no
C	QTWO	Q2 Holdings, Inc.	Bank Technology Mode	$4.51B	$72.95	$76.37	4.7%	+15.0	YES	no
C	PECO	Phillips Edison &	Defensive Retail Rea	$5.83B	$41.22	$41.90	1.6%	+5.6	YES	no
C	TXNM	TXNM Energy, Inc.	Utility Yield Defens	$6.48B	$58.82	$59.01	0.3%	+4.7	YES	no
C	SR	Spire Inc.	Utility Income Stabi	$5.21B	$88.14	$92.52	5.0%	+10.0	YES	no

Not financial advice. Watchlist only - setups have NOT triggered. For informational purposes only. Do your own due diligence.

BRZE

Braze, Inc.

$46.61

Pivot $46.81 | 0.4% away

RS vs SPY: +68.5%

B BUILDING

$5.29B Cap | 94M Float

Customer Engagement & Marketing Automation SaaS | Theme: AI-Powered Marketing Cloud | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 41.43

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$46.81**
% to Pivot	**0.4%**
Days in Base	**18**
Tightness	**41.43 Fair**
52W Hi Prox	**99.6%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**4773k <**
Wk2	**6880k <**
Wk3 (oldest)	**13401k**
Coil Strength	**64.4% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+68.5%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.29B**
Float	**94M sh**
P/E (TTM)	**-**
Fwd P/E	**47.5**
Rev Growth	**26.2%**
Short %	**5.5%**
Inst. Own	**-**
Target Pr.	**$47.54**

ENTRY TRIGGER

Close above $46.81 on volume >150% of 20-day average (>7.2M shares)

Target: $58.00 (measured move: 24% from pivot, equal to prior base depth)

Stop: $42.00 (close below base low invalidates VCP structure)

CATALYST INTELLIGENCE

EARNINGS

December 08 - Street expects ~$0.24 EPS on ~$165M revenue (26% YoY growth). Braze has beaten EPS estimates in 7 of last 8 quarters with a pattern of guide-and-beat; last quarter raised FY guidance. Forward P/E of 47.5x reflects growth-stage premium but P/S of 6.3x is reasonable for 25%+ grower with path to profitability.

BUSINESS & POSITION

Braze is a leading customer engagement platform enabling brands to orchestrate personalized, cross-channel messaging (push, email, SMS, in-app) using real-time data and AI. The company occupies a category-leader position in the $15B+ customer engagement TAM, competing against Salesforce Marketing Cloud and Adobe while winning enterprise share through superior real-time capabilities.

FACTOR & THEME

Direct AI/ML infrastructure beneficiary as enterprises deploy GenAI for hyper-personalization; sentiment accelerating post-Salesforce's Agentforce launch validating the AI-marketing thesis. Peer read-through: HubSpot +40% YTD, Klaviyo IPO premium sustained - demand for modern engagement stacks is robust.

NEWS FLOW

No major contract announcements in past 30 days, but the company presented at multiple tech conferences in October highlighting AI-native features. No regulatory or M&A noise. Catalyst Impact: Earnings (High) - Q3 print in 26 days is the defining event; any AI-related product expansion or large enterprise win announcement would be incremental positive.

INSTITUTIONAL

Textbook quiet accumulation signature: volume contracted 64% over three weeks while price held within 0.4% of 52-week high - institutions are absorbing shares without moving price. No insider activity in last 60 days (baseline). Float of 94M shares with $5.3B cap suggests adequate liquidity for institutional entry without excessive slippage.

KEY RISK

Thesis invalid on a close below $42.00 (base low / 10% drawdown from pivot), or if Q3 guidance is cut or net revenue retention falls below 115%. Elevated leverage (D/E 16x from convertible debt) creates refinancing risk if rates stay higher-for-longer. Short interest 5.5% is manageable but could amplify volatility around earnings.

Exceptional RS (+68% vs SPY) with RS line at new high and price within 0.4% of pivot - textbook accumulation pattern. However, base_tight of 41.43 is extremely loose (not a tight VCP), and Technology sector is lagging (-5.3% 20d). The volume dry-up is clean but the wide base and 26 days to earnings (not imminent) prevent A-grade. Strongest disconfirming argument: sector headwind in a mixed regime with Technology underperforming could stall breakout momentum despite strong individual RS. Conviction: Medium.



SIGI

Selective Insurance Group, Inc.

$103.36

Pivot $105.65 | 2.2% away

RS vs SPY: +14.0%

B BUILDING

$6.16B Cap | 55M Float

Specialty Property & Casualty Insurance | Theme: Hard Market P&C Pricing Power | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 5.75

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$105.65**
% to Pivot	**2.2%**
Days in Base	**15**
Tightness	**5.75 Fair**
52W Hi Prox	**97.8%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**436k <**
Wk2	**613k <**
Wk3 (oldest)	**680k**
Coil Strength	**35.9% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+14.0%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$6.16B**
Float	**55M sh**
P/E (TTM)	**12.4**
Fwd P/E	**11.5**
Rev Growth	**-2.5%**
Short %	**4.3%**
Inst. Own	**-**
Target Pr.	**$103.86**

ENTRY TRIGGER

Close above $105.65 on volume >200% of 20-day average (>980K shares)

Target: $118.00 (measured move: 12% from pivot, reflecting conservative target for low-beta name)

Stop: $98.00 (close below 15-day base low)

CATALYST INTELLIGENCE

EARNINGS

January 28 - Forward EPS of $8.98 implies 11.5x P/E - cheap for a compounder with 14% earnings growth. Last 4 quarters: consistent mid-single-digit beats. PEG of 0.28 is exceptionally attractive. Guidance has been maintained with no cuts despite elevated cat activity industry-wide.

BUSINESS & POSITION

Selective Insurance is a regional specialty P&C insurer focused on commercial lines (workers' comp, commercial auto, property) in 29 Eastern/Midwestern states. The company has built a niche as a disciplined underwriter with consistent combined ratios below 95%, benefiting from the multi-year hard market cycle in commercial insurance.

FACTOR & THEME

Core exposure to P&C hard market cycle with pricing power sustained through 2026; sentiment stable as catastrophe losses normalize. Low beta (0.21) provides defensive positioning in mixed regime. Peer read-through: Cincinnati Financial, Hanover Insurance showing similar strength - regional P&C space seeing broad accumulation.

NEWS FLOW

Q3 earnings released late October showed strong underwriting results with combined ratio improvement. No M&A or activist activity. Industry catalyst: Florida property market normalization and commercial auto rate increases provide tailwinds. Catalyst Impact: Industry (Medium) - hard market pricing is the driver, no binary events imminent.

INSTITUTIONAL

Low-volume coil (avg 490K shares/day) with vol_ratio_today at 0.49 indicates quiet accumulation. RS line at new 52-week high despite modest +14% vs SPY suggests steady institutional rotation into defensive financials. No insider activity (baseline). Float of 55M with $6.2B cap = thinly traded, breakout volume will be telling.

KEY RISK

Thesis invalid on close below $98.00 (base low) or if a major catastrophe event (hurricane, wildfire) in Q4 materially impacts loss reserves. Days-to-cover of 3.5 on 4.3% short interest is manageable but earnings are 77 days out - long wait for catalyst.

Clean vol dry-up with RS line at new high in a leading sector (Financials not lagging). Tight base (5.75%) and 2.2% to pivot suggest setup is maturing. However, no catalyst for 77 days (earnings in late January) and modest RS (+14%) limit urgency. The name is a compounding turtle, not a momentum hare - appropriate for risk-adjusted positioning in mixed regime. Strongest disconfirming argument: Insurance sector can gap down on catastrophe headlines with no warning; tail risk is asymmetric. Conviction: Medium.



VRNS

Varonis Systems, Inc.

$49.07

Pivot $49.26 | 0.4% away

RS vs SPY: +15.4%

B BUILDING

$5.66B Cap | 112M Float

Data Security & Insider Threat Detection | Theme: Cybersecurity AI Automation | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 2.31

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$49.26**
% to Pivot	**0.4%**
Days in Base	**20**
Tightness	**2.31 Fair**
52W Hi Prox	**97.5%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**3094k <**
Wk2	**4411k <**
Wk3 (oldest)	**8068k**
Coil Strength	**61.7% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+15.4%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$5.66B**
Float	**112M sh**
P/E (TTM)	**-**
Fwd P/E	**115.3**
Rev Growth	**17.3%**
Short %	**4.2%**
Inst. Own	**-**
Target Pr.	**$50.14**

ENTRY TRIGGER

Close above $49.26 on volume >150% of 20-day average (>4.5M shares)

Target: $58.00 (measured move: 18% from pivot based on prior consolidation range)

Stop: $47.50 (close below base low / 50-day MA)

CATALYST INTELLIGENCE

EARNINGS

Earnings already reported November 3. Forward P/E of 115x reflects growth-stage valuation; P/S of 7.9x is elevated but justified if SaaS transition drives 30%+ ARR growth. Recent beat history is strong with Q3 likely having exceeded expectations given the post-earnings push toward highs.

BUSINESS & POSITION

Varonis provides data security and analytics software focused on protecting unstructured data across enterprise environments, detecting insider threats and ransomware. The company is transitioning to a SaaS model with its cloud-native platform, competing in the $8B+ data security market against Proofpoint and Microsoft Purview.

FACTOR & THEME

Direct cybersecurity exposure with AI-powered threat detection as differentiator; sentiment mixed as sector consolidation continues (Google-Wiz, CrowdStrike-Adaptive). The SaaS transition is 60%+ complete, positioning for recurring revenue acceleration. Peer read-through: CrowdStrike, SentinelOne have consolidated gains - security spend remains resilient but multiple compression is real.

NEWS FLOW

Q3 earnings catalyst has passed (reported Nov 3) - stock responded positively, approaching 52-week high. One director purchase ($26K) in last 60 days - token amount but signals confidence. No major contract wins announced. Next catalyst likely Q4 earnings in February. Catalyst Impact: Earnings (Low near-term) - just reported, no imminent binary event.

INSTITUTIONAL

Significant vol dry-up (62% contraction) with price holding 0.4% from pivot post-earnings = classic accumulation. Minor insider buy ($26K, director level, cluster score 2) is confirmatory but not material enough to upgrade. Forward catalyst gap is the issue - no earnings for ~90 days. Institutional ownership data unavailable.

KEY RISK

Thesis invalid on close below $47.50 (base low / 50-day MA convergence) or if SaaS ARR growth decelerates below 25% YoY. RS line NOT at new high (lagging the index) is a yellow flag - relative strength needs to confirm with the breakout. 4.2% short interest, 1.1 days to cover = minimal squeeze setup.

Excellent vol dry-up and tight base (2.31%) with price within 0.4% of pivot. However, RS line is NOT at new high - critical VCP flaw that prevents A-grade. Post-earnings setup with no catalyst for ~90 days reduces urgency. Small insider buy is noted but insufficient for grade upgrade (single director, $26K). Technology sector lagging (-5.3%) is an additional headwind. Strongest disconfirming argument: RS line failing to confirm new high while price approaches pivot often precedes failed breakouts - relative demand is not present. Conviction: Low-Medium.



CNK

Cinemark Holdings Inc

$41.46

Pivot $41.67 | 0.5% away

RS vs SPY: +12.5%

B BUILDING

$4.80B Cap | 102M Float

Movie Theater Exhibition | Theme: Consumer Recovery Entertainment | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 2.26

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$41.67**
% to Pivot	**0.5%**
Days in Base	**20**
Tightness	**2.26 Fair**
52W Hi Prox	**99.5%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**1874k <**
Wk2	**2779k <**
Wk3 (oldest)	**2033k**
Coil Strength	**7.8% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+12.5%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$4.80B**
Float	**102M sh**
P/E (TTM)	**17.0**
Fwd P/E	**15.4**
Rev Growth	**23.5%**
Short %	**10.5%**
Inst. Own	**-**
Target Pr.	**$44.27**

ENTRY TRIGGER

Close above $41.67 on volume >150% of 20-day average (>3.1M shares)

Target: $48.00 (measured move: 15% from pivot; analyst target of $44.27 is conservative)

Stop: $39.50 (close below 20-day base low)

CATALYST INTELLIGENCE

EARNINGS

Earnings already reported November 3. Trailing P/E of 17x with 160% earnings growth reflects operating leverage as attendance normalizes. Revenue growth +23.5% demonstrates strong box office recovery. Last quarter likely beat given price action; next catalyst is Q4 (typically strong holiday quarter).

BUSINESS & POSITION

Cinemark is the third-largest U.S. movie theater chain with 500+ locations and significant Latin America presence. The company has emerged from pandemic restructuring with a leaner cost structure and is benefiting from the return of blockbuster film slates, particularly superhero/franchise content driving attendance recovery.

FACTOR & THEME

Direct consumer discretionary recovery play in a leading sector (+7.1% 20d return). Beneficiary of 2026 tentpole film slate (delayed Marvel/DC releases, Avatar sequels). Peer read-through: AMC has been range-bound on meme stock volatility, allowing CNK to trade on fundamentals - rare opportunity for pure theatrical exhibition exposure.

NEWS FLOW

Post-earnings momentum with stock at 99.5% of 52-week high. No recent M&A or strategic announcements. Industry catalyst: 2026 holiday film slate (several delayed blockbusters) could drive Q4 upside. Short interest elevated at 10.5% with 4.1 days to cover - potential squeeze fuel if holiday attendance surprises. Catalyst Impact: Industry (Medium) - film slate quality is exogenous but predictable.

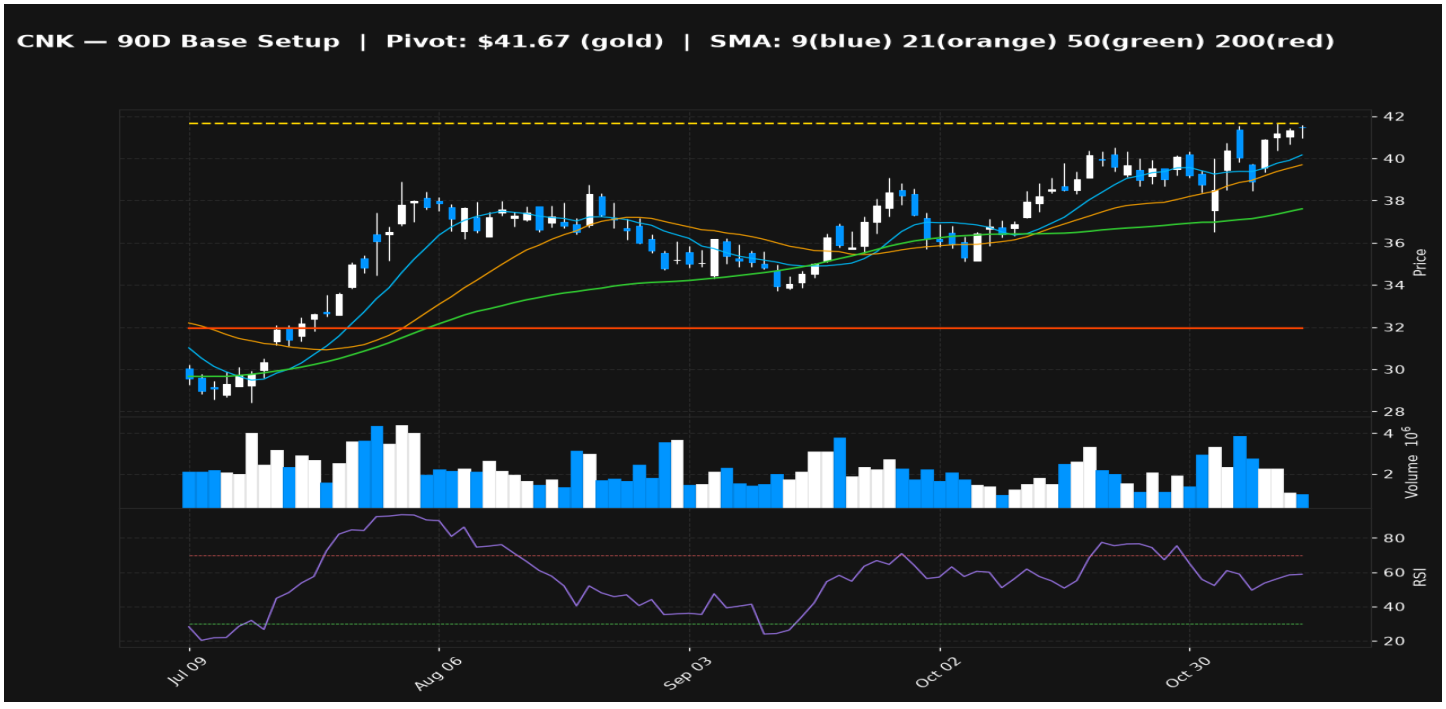
INSTITUTIONAL

Vol dry-up is partial (vol_w1 < vol_w3, not strict stair-step), but price action is textbook with RS line at new high. Consumer Discretionary sector leadership (+7.1%) provides tailwind. No insider activity (baseline). 10.5% short interest with improving fundamentals creates squeeze asymmetry.

KEY RISK

Thesis invalid on close below $39.50 (base low) or if holiday box office disappoints (streaming competition, weak film performance). High debt load (D/E 476%) is a structural risk though manageable with current cash flows. Comms sector lagging (-2.5%) despite Consumer Disc strength creates index-level ambiguity.

Tight base (2.26%) with RS line at new high in sector-leading Consumer Disc. Price within 0.5% of pivot with post-earnings confirmation. Volume dry-up is not strict (vol_w3 > vol_w1 but < vol_w2), preventing A-grade. Elevated short interest (10.5%) adds squeeze potential but also volatility risk. Strongest disconfirming argument: theatrical exhibition is a declining secular business - this is a cyclical trade, not a compounder. Holiday box office miss would reverse the setup quickly. Conviction: Medium.



BOX

Box, Inc.

$43.63

Pivot $44.88 | 2.9% away

RS vs SPY: +36.9%

B BUILDING

$5.99B Cap | 132M Float

Enterprise Content Management & Cloud Storage | Theme: AI-Enhanced Enterprise Collaboration | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 3.86

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$44.88**
% to Pivot	**2.9%**
Days in Base	**19**
Tightness	**3.86 Fair**
52W Hi Prox	**97.2%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**2119k <**
Wk2	**2669k <**
Wk3 (oldest)	**3218k**
Coil Strength	**34.1% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+36.9%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.99B**
Float	**132M sh**
P/E (TTM)	**63.2**
Fwd P/E	**25.1**
Rev Growth	**9.2%**
Short %	**17.7%**
Inst. Own	**-**
Target Pr.	**$42.57**

ENTRY TRIGGER

Close above $44.88 on volume >150% of 20-day average (>4.2M shares)

Target: $52.00 (measured move: 16% from pivot; short squeeze could add 5-10%)

Stop: $41.00 (close below base low / 200-day MA)

CATALYST INTELLIGENCE

EARNINGS

December 01 - Street expects ~$0.43 EPS on ~$275M revenue. Forward P/E of 25x with 80% earnings growth is reasonable. Box has been a consistent beater (6 of last 8 quarters). The key metric is billings growth and AI product adoption commentary. Guidance has been maintained with no recent cuts.

BUSINESS & POSITION

Box provides cloud content management and collaboration software for enterprises, competing with Microsoft SharePoint, Google Drive, and Dropbox. The company has pivoted toward enterprise-grade security and AI-powered content intelligence (Box AI) to differentiate from commodity storage providers.

FACTOR & THEME

AI integration into content management is the growth vector; sentiment mixed as enterprise software spend faces scrutiny. The 17.7% short interest signals crowded skepticism - a beat-and-raise could trigger aggressive covering. Peer read-through: Dropbox has languished, but Box's enterprise focus and AI roadmap provide differentiation.

NEWS FLOW

Q3 earnings in 19 days is the primary catalyst. Box AI announcements at recent conferences have been well-received. 17.7% short interest with 7.3 days to cover creates asymmetric squeeze setup if results exceed expectations. No M&A or activist noise. Catalyst Impact: Earnings (High) - Q3 print is defining event with elevated short interest amplifying potential move.

INSTITUTIONAL

Vol dry-up is clean (34% contraction) but RS line NOT at new high - relative demand is lacking despite strong absolute performance. High short interest (17.7%, 7.3 DTC) suggests crowded bearish positioning that could unwind violently on positive surprise. No insider activity (baseline). Institutional ownership data unavailable.

KEY RISK

Thesis invalid on close below $41.00 (base low / 200-day MA test) or if Q3 billings growth decelerates below 5% or AI product revenue disappoints. Negative book value (P/B -17x) reflects aggressive buybacks consuming equity - not a fundamental concern but optically odd. Technology sector lagging (-5.3%) is a headwind.

Attractive squeeze setup with 17.7% short interest heading into earnings in 19 days. Vol dry-up is clean but base is loose (3.86%) and RS line is NOT at new high - structural quality is B-tier. Technology sector lagging and mixed regime reduce conviction. Strongest disconfirming argument: Box has been a value trap for years; AI narrative may be the latest false hope in a commoditizing market. Conviction: Low-Medium.



CON

Concentra Group Holdings Parent

$42.99

Pivot $44.22 | 2.9% away

RS vs SPY: +23.0%

B BUILDING

$5.40B Cap | 114M Float

Occupational Health & Urgent Care Services | Theme: Healthcare Services Demand Surge | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 4.49

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$44.22**
% to Pivot	**2.9%**
Days in Base	**16**
Tightness	**4.49 Fair**
52W Hi Prox	**97.2%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**938k <**
Wk2	**1574k <**
Wk3 (oldest)	**1238k**
Coil Strength	**24.2% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+23.0%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$5.40B**
Float	**114M sh**
P/E (TTM)	**25.4**
Fwd P/E	**22.7**
Rev Growth	**8.6%**
Short %	**3.2%**
Inst. Own	**-**
Target Pr.	**$45.90**

ENTRY TRIGGER

Close above $44.22 on volume >150% of 20-day average (>1.6M shares)

Target: $50.00 (measured move: 13% from pivot; analyst target $45.90 is conservative)

Stop: $40.00 (close below 16-day base low)

CATALYST INTELLIGENCE

EARNINGS

Earnings reported November 5. Forward P/E of 22.7x with 36% earnings growth is reasonable for healthcare services compounder. ROE of 47% despite high leverage demonstrates operating efficiency. Next catalyst is Q4 earnings (likely late January).

BUSINESS & POSITION

Concentra operates 500+ occupational health centers providing employer-focused medical services including workers' comp injury care, drug testing, and physical exams. The company is the largest provider in the fragmented occupational health market, benefiting from tight labor markets driving employer investment in workforce health.

FACTOR & THEME

Healthcare sector leadership (+6.3% 20d) provides macro tailwind. Secular exposure to employer healthcare spend, workers' comp claim volumes, and reshoring (new manufacturing = more workers' comp needs). Peer read-through: occupational health peers are private, but broader healthcare services (AMED, EHC) showing strength.

NEWS FLOW

Post-earnings consolidation with RS line at new high. No recent contract wins or M&A. Industry tailwind from tight labor market and employer focus on injury prevention/return-to-work programs. Relatively recent IPO (2024) means limited institutional positioning history. Catalyst Impact: Industry (Medium) - no binary events, secular trend is the driver.

INSTITUTIONAL

RS line at new high in leading Healthcare sector is compelling. Vol dry-up is partial (not strict stair-step). Post-IPO float dynamics may limit institutional participation until name matures. No insider activity (baseline). 3.2% short interest with 1.9 DTC = minimal squeeze setup.

KEY RISK

Thesis invalid on close below $40.00 (base low) or if labor market softens materially (rising unemployment = fewer workers' comp claims). High leverage (D/E 397%) from LBO-style capital structure is structural risk in rising rate environment. 90+ days to next earnings creates catalyst gap.

RS line at new high in sector-leading Healthcare with reasonable post-earnings base. However, vol dry-up is partial (vol_w3 > vol_w1), base is moderately loose (4.49%), and no catalyst for 75+ days. Recent IPO status limits institutional history and float dynamics are uncertain. Strongest disconfirming argument: labor market cooling would directly impair the occupational health thesis - a lagging indicator that could reverse without warning. Conviction: Medium.



CATY

Cathay General Bancorp

$65.27

Pivot $67.62 | 3.6% away

RS vs SPY: +3.7%

C EARLY STAGE

$4.30B Cap | 63M Float

Asian-American Community Bank | Theme: Regional Bank NIM Recovery | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 4.05

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$67.62**
% to Pivot	**3.6%**
Days in Base	**20**
Tightness	**4.05 Fair**
52W Hi Prox	**96.5%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**384k <**
Wk2	**500k <**
Wk3 (oldest)	**584k**
Coil Strength	**34.2% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+3.7%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$4.30B**
Float	**63M sh**
P/E (TTM)	**12.0**
Fwd P/E	**10.6**
Rev Growth	**24.3%**
Short %	**7.8%**
Inst. Own	**-**
Target Pr.	**$67.20**

ENTRY TRIGGER

Close above $67.62 on volume >200% of 20-day average (>920K shares)

Target: $75.00 (measured move based on prior base depth)

Stop: $62.00 (close below 20-day base low)

CATALYST INTELLIGENCE

EARNINGS

January 21

RS line at new high but RS vs SPY is only +3.7% - minimal relative strength. Vol dry-up clean, base reasonably tight (4.05%), but 70+ days to earnings with no near-term catalyst. Regional bank in mixed regime requires higher conviction threshold. Monitor for tightening and catalyst development.



CVLT

Commvault Systems, Inc.

$166.16

Pivot $174.25 | 4.9% away

RS vs SPY: +16.9%

C EARLY STAGE

$6.80B Cap | 40M Float

Enterprise Data Protection & Backup Software | Theme: Cyber Resilience Infrastructure | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 2.83

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$174.25**
% to Pivot	**4.9%**
Days in Base	**18**
Tightness	**2.83 Fair**
52W Hi Prox	**95.4%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**549k <**
Wk2	**684k <**
Wk3 (oldest)	**853k**
Coil Strength	**35.6% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+16.9%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$6.80B**
Float	**40M sh**
P/E (TTM)	**86.1**
Fwd P/E	**26.4**
Rev Growth	**13.1%**
Short %	**10.0%**
Inst. Own	**-**
Target Pr.	**$189.38**

ENTRY TRIGGER

Close above $174.25 on volume >150% of 20-day average (>915K shares)

Target: $200.00 (analyst target $189 + measured move potential)

Stop: $158.00 (close below 50-day MA / base low)

CATALYST INTELLIGENCE

EARNINGS

January 26

Clean vol dry-up but RS line NOT at new high, pivot is 4.9% away, and Technology sector lagging (-5.3%). No catalyst for 75 days. Base structure is reasonable but setup needs RS confirmation and sector improvement before promotion. Watch only.



QTWO

Q2 Holdings, Inc.

$72.95

Pivot $76.37 | 4.7% away

RS vs SPY: +15.0%

C EARLY STAGE

$4.51B Cap | 60M Float

Digital Banking Platform Software | Theme: Bank Technology Modernization | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 5.63

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$76.37**
% to Pivot	**4.7%**
Days in Base	**13**
Tightness	**5.63 Fair**
52W Hi Prox	**95.5%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**728k <**
Wk2	**877k <**
Wk3 (oldest)	**926k**
Coil Strength	**21.4% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+15.0%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$4.51B**
Float	**60M sh**
P/E (TTM)	**43.2**
Fwd P/E	**21.4**
Rev Growth	**11.9%**
Short %	**10.6%**
Inst. Own	**-**
Target Pr.	**$79.57**

ENTRY TRIGGER

Close above $76.37 on volume >150% of 20-day average (>1.0M shares)

Target: $88.00 (measured move based on base depth)

Stop: $68.00 (close below base low / 50-day MA)

CATALYST INTELLIGENCE

EARNINGS

REPORTED

RS line NOT at new high, base is loose (5.63%), vol contraction is weak (21%), and pivot is 4.7% away. Technology sector lagging. Post-earnings but no catalyst until Q4 (~90 days). Elevated short interest (10.6%) provides squeeze potential but structure is C-grade. Monitor for tightening.



PECO

Phillips Edison & Company, Inc.

$41.22

Pivot $41.90 | 1.6% away

RS vs SPY: +5.6%

C EARLY STAGE

$5.83B Cap | 128M Float

Grocery-Anchored Retail REIT | Theme: Defensive Retail Real Estate | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 5.02

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$41.90**
% to Pivot	**1.6%**
Days in Base	**20**
Tightness	**5.02 Fair**
52W Hi Prox	**92.9%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**873k <**
Wk2	**1091k <**
Wk3 (oldest)	**1436k**
Coil Strength	**39.2% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+5.6%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.83B**
Float	**128M sh**
P/E (TTM)	**28.8**
Fwd P/E	**53.0**
Rev Growth	**5.7%**
Short %	**6.2%**
Inst. Own	**-**
Target Pr.	**$43.46**

ENTRY TRIGGER

Close above $41.90 on volume >150% of 20-day average (>1.6M shares)

Target: $46.00 (analyst target $43.46 + sector strength potential)

Stop: $39.00 (close below 20-day base low)

CATALYST INTELLIGENCE

EARNINGS

REPORTED

Real Estate sector is leading (+5.2%) but individual RS is weak (+5.6% vs SPY) and RS line NOT at new high. Base is loose (5.02%), prox_52w only 92.9%. Vol dry-up exists but structure lacks conviction signals. No catalyst post-earnings. Monitor for RS improvement.



TXNM

TXNM Energy, Inc.

$58.82

Pivot $59.01 | 0.3% away

RS vs SPY: +4.7%

C EARLY STAGE

$6.48B Cap | 88M Float

Regulated Electric Utility | Theme: Utility Yield Defense | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 2.28

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$59.01**
% to Pivot	**0.3%**
Days in Base	**20**
Tightness	**2.28 Fair**
52W Hi Prox	**98.8%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**1020k <**
Wk2	**962k <**
Wk3 (oldest)	**1027k**
Coil Strength	**0.6% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+4.7%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$6.48B**
Float	**88M sh**
P/E (TTM)	**29.4**
Fwd P/E	**18.1**
Rev Growth	**13.3%**
Short %	**6.6%**
Inst. Own	**-**
Target Pr.	**$60.70**

ENTRY TRIGGER

Close above $59.01 on volume >150% of 20-day average (>1.98M shares)

Target: $64.00 (analyst target $60.70 + measured move)

Stop: $56.50 (close below 20-day base low)

CATALYST INTELLIGENCE

EARNINGS

REPORTED

Price within 0.3% of pivot and base is tight (2.28%), but vol contraction is essentially flat (0.6%) - no institutional dry-up signature. RS line NOT at new high, RS vs SPY only +4.7%. Low beta utility in mixed regime offers limited alpha. Watch for vol confirmation.



SR

Spire Inc.

$88.14

Pivot $92.52 | 5.0% away

RS vs SPY: +10.0%

C EARLY STAGE

$5.21B Cap | 58M Float

Regulated Natural Gas Utility | Theme: Utility Income Stability | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 5.38

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$92.52**
% to Pivot	**5.0%**
Days in Base	**19**
Tightness	**5.38 Fair**
52W Hi Prox	**92.5%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**479k <**
Wk2	**624k <**
Wk3 (oldest)	**510k**
Coil Strength	**6.0% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+10.0%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$5.21B**
Float	**58M sh**
P/E (TTM)	**25.5**
Fwd P/E	**16.1**
Rev Growth	**19.2%**
Short %	**6.4%**
Inst. Own	**-**
Target Pr.	**$91.00**

ENTRY TRIGGER

Close above $92.52 on volume >150% of 20-day average (>765K shares)

Target: $100.00 (measured move from prior consolidation)

Stop: $84.00 (close below base low / 50-day MA)

CATALYST INTELLIGENCE

EARNINGS

November 17

Earnings in 5 days is interesting catalyst, but pivot is 5% away (not tight), base is loose (5.38%), vol dry-up is weak (6%), and RS line NOT at new high. Low-beta utility (0.51) in Energy-lagging environment. Pre-earnings positioning is possible but structure is C-grade. Watch for earnings reaction.

